

The First Payslip Playbook

What to actually do with your salary the day it lands — accounts, autopay, worked examples, and a simple 3-bucket split.

Before we start

This isn't a finance course. It's a checklist with the reasoning included. Everything here is something you can do in the next 30–90 days with your first (or fifth) payslip, no background in finance required. Skip anything you've already done — read this like a manual, not a novel.

1. Decode your payslip first

Every payslip has the same skeleton. Once you know what each line means, the gap between your CTC and your take-home stops being a mystery.

Line item	What it actually is
Basic Salary	The core of your pay, usually 40–50% of CTC. Most other components — PF, gratuity, HRA — are calculated as a percentage of this number, so it quietly affects a lot.
HRA (House Rent Allowance)	Meant to offset rent. Tax-exempt up to a limit if you actually pay rent and can show receipts or a rent agreement — otherwise it's just taxable income.
Special Allowance	A flexible top-up component companies use to balance the total CTC number. Fully taxable, with no exemptions attached to it.
Provident Fund (PF)	12% of your basic goes into your retirement account automatically. Your employer matches it with another 12%. This is your money — it's locked up, not lost.
Professional Tax	A small state-level tax, usually around Rs. 200/month depending on your state. Unrelated to income tax, and non-negotiable.
TDS (Tax Deducted at Source)	Income tax your employer deducts in advance every month, based on your declared investments and your expected annual income.
Gross Salary	Basic + HRA + all allowances, before any deductions. This is bigger than what actually lands in your account.
Net Salary (Take-home)	Gross salary minus PF, professional tax, and TDS. This is the number that actually hits your bank account.

Do this: Open your actual payslip right now and match each line to this table. Takes two minutes, removes the mystery permanently.

2. CTC, Gross, and Net — why three numbers for one salary

Recruiters quote CTC. Your offer letter shows Gross. Your bank account only ever sees Net. Confusing these three is the #1 reason people feel like their salary "disappeared."

Term	Includes	You actually get it?
CTC (Cost to Company)	Everything the company spends on you — salary, PF contribution, gratuity, insurance premiums, and sometimes even meal cards or perks.	No — this is a cost figure, not a payout figure.
Gross Salary	Basic + HRA + all allowances, before deductions. Usually 75–85% of CTC.	Partially — before tax and PF are removed.
Net Salary	Gross minus PF, professional tax, and TDS.	Yes — this is what lands in your account.

A rough rule of thumb: your monthly take-home is typically **65–75% of (CTC ÷ 12)**. If someone quotes you a Rs. 12 lakh CTC, expect roughly Rs. 65,000–Rs. 75,000 a month in hand, not Rs. 1,00,000. Knowing this before you accept an offer prevents an unpleasant surprise on payday one.

3. Set up your accounts (Week 1)

Don't let every rupee sit in one salary account waiting to be spent. Split it structurally, so saving happens automatically instead of needing willpower every single month.

- **Keep your salary account** for salary credit and fixed bills only — rent, EMI, subscriptions.
- **Open a separate savings account** at a different bank for your emergency fund. Physically separate money is money you don't accidentally spend on a Tuesday.
- **Set up one autopay** on salary day — a fixed amount moving straight into a liquid mutual fund or recurring deposit before you get a chance to spend it.
- **Activate your UAN** (Universal Account Number) for your PF if your employer hasn't shown you how. You'll need this every time you switch jobs.
- **Link your PAN and Aadhaar** to your salary account and PF account if you haven't already — unlinked accounts can cause delays or higher TDS later.

4. The 3-bucket split

Every time your salary lands, mentally (or literally) split it three ways. This isn't about precise percentages — it's about making sure all three buckets exist at all, every single month.

Bucket	Roughly	Goes toward
Needs	50%	Rent, groceries, EMI, bills, transport — the non-negotiables.
Future-you	20–25%	Emergency fund first, then SIPs once that fund covers 6 months of expenses.
Guilt-free spending	25–30%	Eating out, travel, hobbies, shopping — spent on purpose, not by accident.

Worked example: Rs. 50,000 take-home

Bucket	Amount	Example breakdown
Needs (50%)	Rs. 25,000	Rs. 15,000 rent, Rs. 6,000 groceries/utilities, Rs. 4,000 transport
Future-you (25%)	Rs. 12,500	Rs. 7,500 to emergency fund until it hits 6 months of expenses, then redirected to a SIP
Guilt-free (25%)	Rs. 12,500	Eating out, OTT subscriptions, a weekend trip fund, hobbies

The exact split will bend depending on your city and rent — someone in Bengaluru or Mumbai may need 55–60% for Needs. What matters is that Future-you and Guilt-free both survive as real numbers, not afterthoughts.

5. Starting your first SIP, practically

You don't need to "understand the market" to start. You need an emergency fund first, then a number you can commit to every month without missing meals.

- **Emergency fund first, always.** Before any SIP, build 3–6 months of expenses in a liquid fund or sweep-in FD. This is what stops a job loss or medical bill from becoming a debt spiral.
- **Pick an index fund to start.** A Nifty 50 or Nifty 500 index fund is a reasonable default for a first SIP — low cost, broad exposure, nothing exotic to research.
- **Automate the date.** Set your SIP for 2–3 days after salary credit, not before — so a delayed salary doesn't bounce your SIP and quietly ding your credit behaviour.
- **Start smaller than you think.** A Rs. 2,000/month SIP you actually sustain for 5 years beats a Rs. 10,000/month SIP you cancel in month 4.
- **Increase it once a year.** Bump your SIP amount every time you get a raise, before lifestyle inflation quietly claims that increase instead.

6. The two insurance basics, sorted early

Type	Why it matters	Rough starting point
Term insurance	Pure protection for dependents if something happens to you. Cheapest when you're young and healthy — this is not the same as an "investment-linked" policy.	Cover of roughly 10–15x your annual income.
Health insurance	Your company policy usually ends the day you leave the company. A personal policy protects you between jobs and after you leave the workforce.	A separate personal policy of at least Rs. 5–10 lakh cover, even with employer cover already in place.

Both are cheaper the younger and healthier you buy them. "I'll do it later" almost always means paying more for the same cover, or discovering a health condition that complicates it.

7. Mistakes to skip entirely

- **Buying gadgets on EMI the month salary starts.** A phone on 12-month EMI eats into your "future-you" bucket before it exists.
- **Ignoring your PF balance.** It's not "locked away and irrelevant" — it's one of the few guaranteed, compounding parts of your salary.
- **Skipping insurance because "I'm young and healthy."** A basic term plan is cheapest exactly when you don't think you need it.
- **Copying a friend's SIP amount.** Your number should come from your own expenses, not someone else's Instagram story.
- **Letting your salary account become your everything account.** No separation means no visibility into where money actually goes.
- **Not tracking subscriptions.** OTT, cloud storage, gym, apps — small recurring charges quietly erode the Guilt-free bucket without you noticing.
- **Withdrawing PF on every job switch.** Transfer it instead. Withdrawing early can make it taxable and resets your long-term compounding.
- **Waiting for a "bigger salary" to start saving.** The percentage matters more than the absolute number — habits built at Rs. 30,000 scale cleanly to Rs. 3,00,000.

8. Quick answers to common questions

Should I pay off small debts before I start saving?

High-interest debt (credit cards, personal loans) — yes, pay this down first, it usually costs more than any investment will earn you. Low-interest debt like an education loan can run alongside a small emergency fund.

Is a savings account or a liquid fund better for my emergency fund?

A liquid fund typically gives a slightly better return with almost the same access speed. A sweep-in fixed deposit is a solid middle ground if you'd rather stick with your bank.

How much should actually be in my emergency fund before I invest?

3 months of expenses at minimum, 6 months if your income is variable (freelance, commission-heavy, or a volatile industry).

Do I need a financial advisor this early?

Not usually. Most of what matters in your first 2–3 years is habit-building, not portfolio complexity. A paid one-off consultation is more useful once your income or questions get more specific.

9. Your first 90 days, in order

- ✓ Week 1 — Match your payslip to the table in Section 1. Open a separate savings account.
- ✓ Week 2 — Set up one autopay for savings on salary day. Confirm your UAN/PF is active.
- ✓ Week 3 — Build your guilt-free spending number, and actually spend it without guilt.
- ✓ Week 4 — Check: does your emergency fund exist yet, even a small one? Start it if not.
- ✓ Day 45 — Audit your subscriptions. Cancel anything you forgot you were paying for.
- ✓ Day 60 — Look into a basic term insurance plan if you don't already have one.
- ✓ Day 75 — Check your personal health insurance cover, separate from your employer's policy.
- ✓ Day 90 — Start your first SIP, sized to what's genuinely left after Needs and Emergency Fund.

10. Quick glossary

Term	Meaning
CTC	Cost to Company — total yearly cost of employing you, not what you take home.
TDS	Tax Deducted at Source — income tax withheld by your employer in advance.
UAN	Universal Account Number — your permanent ID for your Provident Fund, follows you across jobs.
SIP	Systematic Investment Plan — a fixed amount invested automatically at regular intervals.
Liquid fund	A low-risk mutual fund used for short-term parking of money, more flexible than an FD.
Form 16	The annual certificate from your employer summarising your salary and TDS, used to file your ITR.

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